

Submitted via Comments@fdic.gov with “RIN 3064-AG20” in subject line

Jennifer M. Jones
Deputy Executive Secretary
Attention: Comments—RIN 3064-AG20
Federal Deposit Insurance Corporation
550 17th Street NW
Washington, DC 20429

April 18, 2026

Re: RIN 3064-AG20, Approval Requirements for Issuance of Payment Stablecoins by Subsidiaries of FDIC-Supervised Insured Depository Institutions (90 Fed. Reg. 59409, December 19, 2025)

Dear Ms. Jones:

Tokenization Systems, an independent research program on stablecoin and payment infrastructure regulation, submits this comment on the FDIC’s proposed application rule under section 5 of the GENIUS Act. The comment’s central proposition is that the application rule is the FDIC’s first and foundational opportunity to map the control-layer topology of a prospective Permitted Payment Stablecoin Issuer (PPSI). Filing content shapes both the approval decision and the baseline for ongoing supervision, particularly given the FDIC’s role as the PPSI’s primary Federal payment stablecoin regulator under section 2(25) of the GENIUS Act (12 U.S.C. 5901(25)). The proposed rule will be more effective if it is designed to surface the structural features that are consequential for ongoing supervision.

The comment applies the research program’s control-layer framework, grounded in the Control Layer Intensity Index (CLII) and the Minimum Viable Equivalence Pack (MVEP), both available on SSRN. CLII scores stablecoin operators on the intensity of operational control they exercise over issuance, routing, custody, and compliance functions; MVEP identifies ten categories of structural features that distinguish operators whose architectures provide functional equivalents to traditional deposit protection from those whose architectures do not. Tokenization Systems has submitted prior comments applying this framework to the OCC implementing rule for PPSIs (Docket OCC-2025-0372, including a supplemental comment on interface-layer conduct) and to Treasury’s state-similarity principles (TREAS-DO-2026-0232). Companion comments on the parallel FinCEN general AML/CFT rulemaking (FINCEN-2026-0034), the FinCEN-OFAC PPSI rulemaking (FINCEN-2026-0100), the banking agency joint AML/CFT rule (91 Fed. Reg. 18304), and the FDIC substantive PPSI requirements rule (RIN 3064-AG19) are submitted alongside or shortly following this comment. The five federal rulemakings together define the operational architecture within which PPSIs will issue payment stablecoins; the recommendations in this comment are designed to coordinate with the parallel rulemakings rather than to duplicate or contradict them.

The comment makes four specific recommendations responsive to Questions 3, 4, 5, and 7, and one structural observation responsive to Question 11. Each recommendation is implementable within the proposed rule’s existing structure and is consistent with the GENIUS Act’s statutory architecture. The research program takes no position on the underlying statutory design; its analysis addresses implementation questions that the statute leaves to agency discretion.

I. Framing: The application as the FDIC’s first control-layer mapping

Section 5 of the GENIUS Act directs the FDIC to establish a process and Federal framework for the licensing, regulation, examination, and supervision of PPSIs that prioritizes safety and soundness. The

application rule is the first operational step in that framework. An applicant submits; the FDIC evaluates; if approved, the PPSI subsidiary begins issuing payment stablecoins under the FDIC's ongoing supervision as primary Federal payment stablecoin regulator.

This sequence has an important implication for application rule design. The information the FDIC collects at the application stage becomes the baseline against which the FDIC evaluates the applicant, and also the baseline from which ongoing supervision under section 4 and section 6 proceeds. Filing content that is narrow at the application stage will leave the FDIC with a narrow baseline for later supervisory work; filing content that surfaces structural features of the PPSI's operational architecture will give the FDIC a foundation for both the approval decision and subsequent supervision.

The research program's control-layer framework identifies four operational features of tokenized finance that are consequential for supervision: (1) the distribution of operational functions across entities with different legal and regulatory relationships; (2) the location of reserve custody and its concentration; (3) the legal characterization of the holder's claim and its enforceability; and (4) the points at which the PPSI's operational architecture interacts with the architectures of other supervised entities. Each of the four recommendations below addresses one of these features in the context of the FDIC's proposed filing content requirements.

II. Four recommendations

Recommendation 1 (Q3): Filing content should include a structured mapping of section 4 activities to the entities that perform them

Proposed § 303.252(d)(1) requires a description of the proposed activities of the subsidiary, "including the identities, roles, and responsibilities of the entities involved in the proposed payment stablecoin activities." The recommendation asks the FDIC to make that requirement more specific by requiring a structured mapping against the categories of activity enumerated in section 4 of the GENIUS Act.

The required mapping would have two axes. The first axis lists section 4 activity categories: (a) issuance operations under section 4(a)(7)(A)(i); (b) reserve management under section 4(a)(7)(A)(iii), subject to the 1:1 reserve composition requirement at section 4(a)(1)(A); (c) redemption operations under section 4(a)(7)(A)(ii), subject to the redemption policy requirement at section 4(a)(1)(B); (d) recordkeeping and transaction reconciliation (on-chain and off-chain); (e) BSA/AML and sanctions compliance under section 4(a)(5); (f) custody and safekeeping for payment stablecoins, required reserves, and private keys under section 4(a)(7)(A)(iv), subject to the custody authorization at 12 U.S.C. 5909(a); (g) activities that directly support the core permitted activities under section 4(a)(7)(A)(v); and (h) digital asset service provider activities and activities incidental thereto, authorized by the FDIC under the rule of construction at section 4(a)(7)(B). The second axis identifies the entity that performs each activity: the PPSI directly; the parent IDI under section 16(b); an affiliate; a third-party service provider; or a combination with a specified division of responsibility.

This mapping is essential for the FDIC to evaluate two statutory factors. Under section 5(c)(1), the FDIC must assess the subsidiary's ability to meet the requirements of section 4 based on its financial condition and resources. A PPSI whose section 4 activities depend materially on entities outside its corporate boundary has a different risk profile from one that performs the activities directly; the mapping surfaces the dependency structure for that evaluation. Under section 5(c)(3), the FDIC must evaluate the competence, experience, and integrity of officers, directors, and principal shareholders of the applicant, its subsidiaries, and parent company. Where section 4 activities are distributed across multiple entities, the competence assessment is better calibrated when it tracks that distribution. The mapping supports both

evaluations.

The same control-layer topology is the unit of analysis in the parallel FinCEN PPSI rulemaking at FINCEN-2026-0100, where AML/CFT and sanctions obligations attach at specific topology points. Requiring the mapping in the FDIC application rule creates coordinated filings across regulators without requiring duplicative information. Where the FDIC has already received the mapping as part of the application, the FDIC's ongoing supervision under section 6 of the Act can proceed from a shared baseline with FinCEN's supervision under FINCEN-2026-0100.

Recommendation 2 (Q4): The final rule should explicitly preserve the FDIC's ability to establish section 5(c)(5) factors in subsequent rulemakings

The proposed rule declines to add factors under section 5(c)(5) at this stage, citing the application rule's narrow scope and the FDIC's existing supervisory relationship with applicants. This decision is consistent with the application rule's purpose and avoids over-specifying at the application stage.

The forthcoming FDIC substantive rulemakings on capital requirements, liquidity requirements, reserve asset diversification, and operational, compliance, and information technology risk management (referenced in section II.B.3.a of the proposed rule preamble and addressed in the FDIC's concurrent substantive rulemaking at RIN 3064-AG19) will surface considerations that may warrant treatment as section 5(c)(5) factors in subsequent application rule revisions. These include: control-layer observability for PPSIs with materially distributed operational architectures; smart contract immutability and its implications for supervisory intervention; operational dependencies on public blockchain infrastructure; and concentration of reserve custody in ways that create material risk independent of reserve composition.

Two asks follow from the above. First, the final rule's preamble should state that the FDIC's decision not to add section 5(c)(5) factors at this stage does not foreclose the FDIC from adding factors later. Second, when the FDIC issues its substantive rulemakings on capital, liquidity, reserve diversification, and risk management (including RIN 3064-AG19), it should indicate that it will evaluate whether the four considerations identified above warrant treatment as section 5(c)(5) factors in a future revision of the application rule. These asks preserve the FDIC's flexibility without adding substantive requirements to the application rule and coordinate appropriately with the concurrent substantive rulemakings where these questions more properly belong.

Recommendation 3 (Q5): Filing content should include disclosure of reserve custody concentration, not just composition

Proposed § 303.252(d)(2) requires "reserve assets and composition and associated asset management plan." Composition addresses what assets back the stablecoin; concentration addresses where those assets are held. Concentration in reserve custody can create material risk that composition alone does not capture.

The March 2023 Silicon Valley Bank episode underscores the importance of this distinction. Du, Sonawane, and Watsky, "In the Shadow of Bank Runs: Lessons from the Silicon Valley Bank Failure and Its Impact on Stablecoins," FEDS Notes (December 17, 2025, DOI 10.17016/2380-7172.3958), document that during the March 2023 Silicon Valley Bank failure, USDC reserve concentration at a single bank caused the stablecoin to experience material de-pegging despite continuous full reserve backing. The concentration itself was the transmission channel. The same reserve composition, distributed across multiple custodians, would have produced a different outcome.

The filing content ask is that under § 303.252(d)(2), the asset management plan include: (a) named custodian institutions for reserve assets; (b) concentration limits as a percentage of total reserves per custodian institution; (c) the applicant's diversification rationale, including its analysis of single-institution failure scenarios; and (d) any planned use of the parent IDI or its affiliates as a reserve custodian, with a statement of why the resulting concentration does not create material risk to the PPSI's ability to meet section 4(a)(1)(B) redemption standards.

This recommendation coordinates with two parallel comments in the research program's submission record. The Banking letter (91 Fed. Reg. 18304) Recommendation 2 makes the parallel ask from the bank side: banks providing reserve custody to PPSIs should surface PPSI-relationship concentration as a distinct risk category in their AML/CFT risk assessments. The FDIC substantive rule comment (RIN 3064-AG19) treats reserve concentration as a first-order structural feature of PPSI operations. The FDIC application rule captures the same information from the PPSI side at the application stage, completing the coverage.

Recommendation 4 (Q7): Customer agreements should include a rights-parity assessment

Proposed § 303.252(d)(4) requires customer agreements to be submitted as part of the application. Section 5(c)(4) requires the FDIC to evaluate whether the redemption policy meets section 4(a)(1)(B) standards. Section 4(a)(1)(B) addresses the mechanics of redemption but does not directly address the antecedent legal question of what the holder's claim actually is.

This question matters because the GENIUS Act structure creates an unusual juxtaposition. A PPSI is a subsidiary of an insured depository institution, but the payment stablecoin is statutorily not a deposit (12 U.S.C. 5901(22)(B)) and is not subject to deposit insurance (12 U.S.C. 5903(e)(1)). Holders interacting with a PPSI that is a subsidiary of an IDI may form expectations about their legal position that do not match the legal reality: the holder has a contractual claim against the PPSI, subject to the PPSI's independent solvency, the UCC Article 12 qualifying-purchaser framework, and the mechanics of the PPSI's redemption process.

The filing content ask is that customer agreements submitted under § 303.252(d)(4) include: (a) clear characterization of the legal nature of the holder's claim as a contractual claim against the PPSI, expressly not a deposit claim against the parent IDI; (b) representations regarding the circumstances in which redemption may be limited, delayed, or suspended, with explicit attention to UCC Article 12 qualifying-purchaser scenarios; (c) disclosure of the UCC Article 12 qualifying-purchaser framework, including its asymmetric effects: qualifying purchasers take free of adverse claims, and holders whose stablecoins are acquired by a qualifying purchaser may have limited recourse against that purchaser even when the original transfer was wrongful; and (d) disclosure of the PPSI's solvency relationship with the parent IDI, including whether any parent-provided sources of strength, guarantees, or intercompany agreements exist and their legal enforceability.

The MVEP framework applied in the prior OCC comment (Docket OCC-2025-0372) addresses the parallel rights-parity questions for Federal qualified payment stablecoin issuers; the Treasury state-similarity comment (TREAS-DO-2026-0232) addresses them at the state-regulator level; and the FDIC substantive rule comment (RIN 3064-AG19) addresses them in the context of the deposit insurance pass-through analysis. The FDIC application rule is the final regulator view, and the customer agreement submitted with the application is the document that actually reaches the holder. Rights-parity disclosures belong in that document.

III. Observation on cross-rulemaking coordination (Q11)

The research program offers one structural observation under Question 11 regarding effects the FDIC has not identified.

A subsidiary PPSI will have an AML/CFT program governed by the FinCEN-OFAC rulemaking at FINCEN-2026-0100. Its parent IDI will have an AML/CFT program governed by the banking agency rulemaking at 91 Fed. Reg. 18304. The FDIC will supervise both the subsidiary PPSI and the parent IDI, and will supervise the integration between their two programs. The application rule is the moment at which the FDIC first evaluates that integration. Proposed § 303.252(d)(4) requires “BSA/anti-money laundering/countering the financing of terrorism and economic sanctions requirements pursuant to section 4(a)(5) of the GENIUS Act,” but does not expressly require the applicant to describe how the subsidiary PPSI’s AML/CFT program will integrate with the parent IDI’s program at the enterprise level.

The observation is that § 303.252(d)(4) should expressly note that the FDIC will evaluate enterprise-wide program integration, including governance, information sharing between the subsidiary PPSI and the parent IDI, unified or coordinated testing, and enterprise-wide risk assessment. This is an observation rather than a formal recommendation because the substantive AML/CFT program obligations arise under FINCEN-2026-0100 and 91 Fed. Reg. 18304, not under this rule. The application rule need only signal that program integration is a factor the FDIC will evaluate. The observation completes the enterprise-wide program integration thread that originates in the Banking letter (91 Fed. Reg. 18304) Recommendation 3 and is echoed in the PPSI letter (FINCEN-2026-0100) Recommendation 9.

IV. Conclusion

The four recommendations and one observation above are designed to be implementable within the proposed rule’s existing structure. None adds substantive requirements beyond the statutory framework of section 4. All are calibrated to the application rule’s narrow scope of establishing procedures for FDIC approval of PPSI applications. The common thread is that the application is the FDIC’s first opportunity to map the PPSI’s control-layer topology, and filing content should be designed to surface the structural features that are consequential for both the approval decision and ongoing supervision.

The research program appreciates the FDIC’s careful attention to the application rule and the proposed rule’s emphasis on minimizing regulatory burden while establishing a foundation for GENIUS Act implementation. The recommendations above are offered in the same spirit.

Respectfully submitted,

Zach Zukowski
Tokenization Systems
zach@tokenization.systems
ORCID: 0009-0006-3642-2450
SSRN Author ID: 10386216
